

GCE A LEVEL

A520U30-1H

PREDICTED 2025 – SET H

ECONOMICS – A level component 3

Evaluating Economic Models and Policies

Predicted Paper – Hard

2 hours 30 minutes

ADDITIONAL MATERIALS

A WJEC pink 16-page answer booklet.

INSTRUCTIONS TO CANDIDATES

Use black ink or black ball-point pen. Do not use gel pen or correction fluid.

You may use a pencil for graphs and diagrams only.

Answer **both** parts of **one** question from Section A.

Answer **both** parts of **one** question from Section B.

Answer **both** parts of **one** question from Section C.

Write your answers in the separate answer booklet provided, following the instructions on the front of the answer booklet.

Use both sides of the paper. Write only within the white areas of the booklet.

Write the question number in the two boxes in the left-hand margin at the start of each answer, for example **1 1**.

Leave at least two line spaces between each answer.

INFORMATION FOR CANDIDATES

The number of marks is given in brackets at the end of each question or part-question.

You are reminded of the necessity for good English and orderly, clear presentation in your answers.

SECTION A

Answer **both** parts of **one** question from this section.

Either,

Major supermarkets accused of "greedflation" during the cost-of-living crisis

1 1 Explain what is meant by price elasticity of demand and the main factors affecting it.
[10]

and

1 2 Discuss whether firms with significant pricing power always act to exploit consumers.
[20]

Or,

Streaming wars intensify: Netflix loses subscribers as Disney+ and Apple TV+ expand

2 1 Outline what is meant by a contestable market and explain the conditions required for contestability. **[10]**

and

2 2 Evaluate whether digital streaming services operate as genuinely contestable markets.
[20]

SECTION B

Answer **both** parts of **one** question from this section.

Either,

Pound sterling falls to 12-month low against the US dollar

3 1 Using a diagram, explain the factors that determine the exchange rate of the pound in a floating exchange rate system. **[10]**

and

3 2 Evaluate the impact of a sustained depreciation of the pound on the UK economy. **[20]**

Or,

Chancellor announces £30bn increase in public spending despite rising national debt

4 1 Explain the difference between discretionary fiscal policy and automatic stabilisers. **[10]**

and

4 2 Evaluate the extent to which expansionary fiscal policy is effective in stimulating economic growth. **[20]**

SECTION C

Answer **both** parts of **one** question from this section.

Either,

UK current account deficit widens to a record £71bn

5 1 With the aid of a diagram or balance, explain the main components of the balance of payments. **[10]**

and

5 2 Assess the extent to which a persistent current account deficit is a problem for the UK. **[20]**

Or,

FDI into Africa hits record \$83bn as investors target energy transition projects

6 1 Explain how foreign direct investment (FDI) can contribute to economic development in low-income countries. **[10]**

and

6 2 Evaluate whether FDI is always beneficial for host developing countries. **[20]**